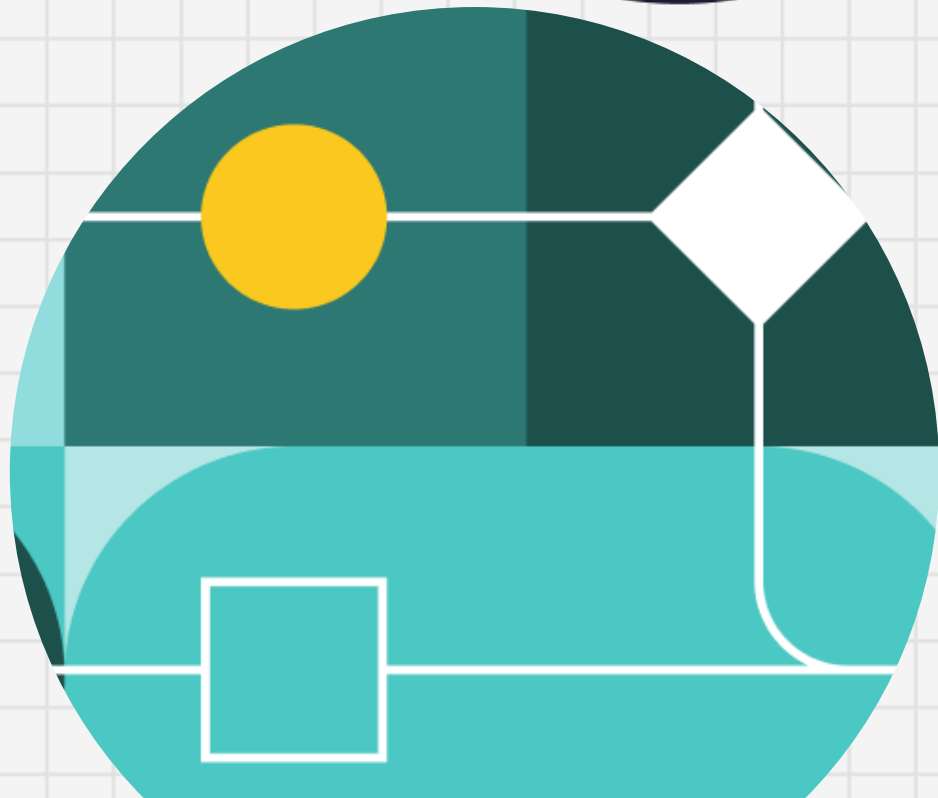




dataiku

Prateek Rana

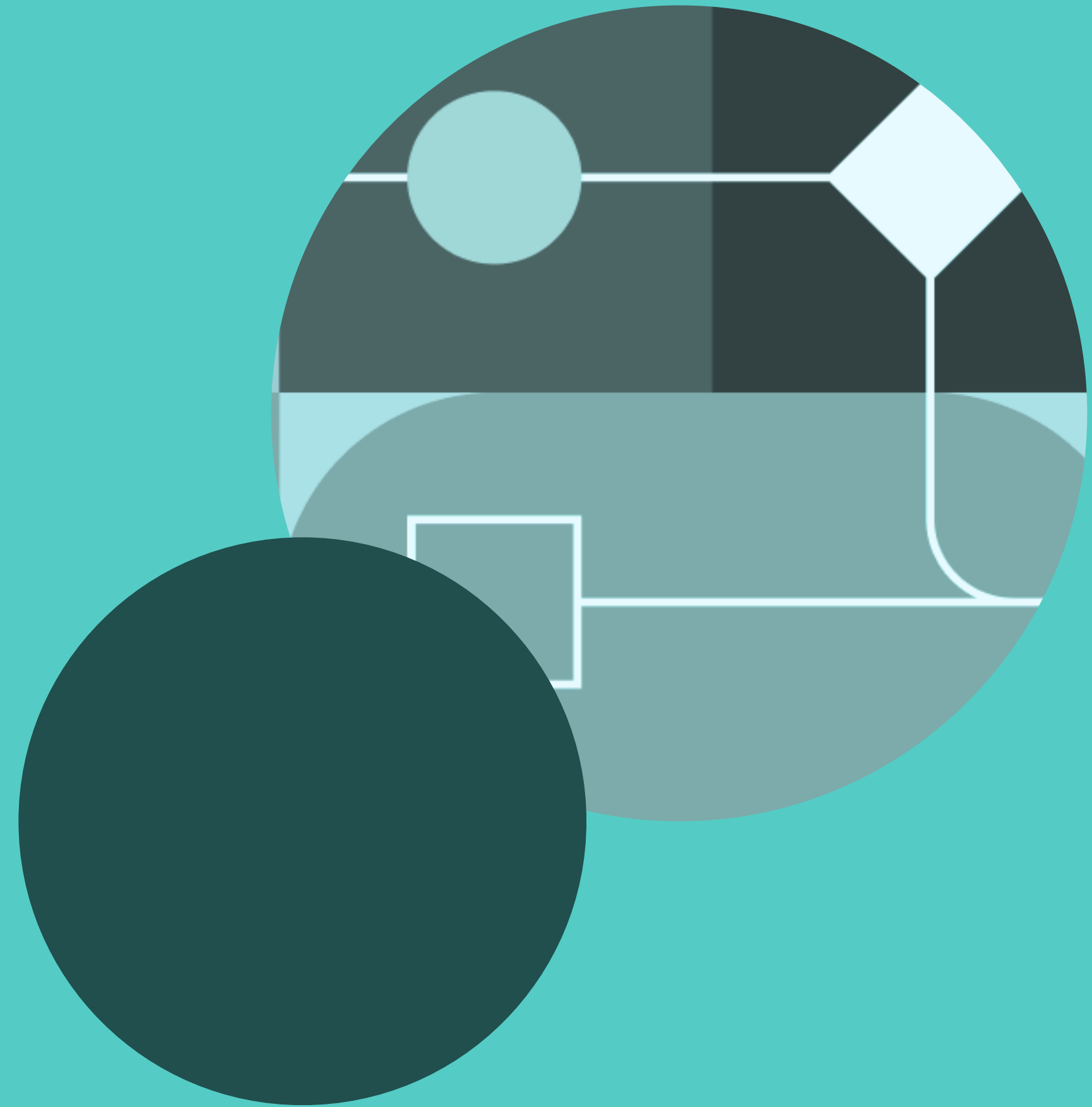


Agenda

1. Introduction
2. Data understanding
3. Exploratory data analysis (EDA)
4. Feature engineering
5. Modeling and evaluation
6. Results
7. Recommendations
8. Limitations
9. Future work

Introduction

- Project overview
- Question at hand: **“Who earns more than \$50K?”**
- Key Goals:
 - Predict individual earns more or less than \$50K
 - Most influential features
 - Build robust model
 - Evaluation of model
 - Actionable insights

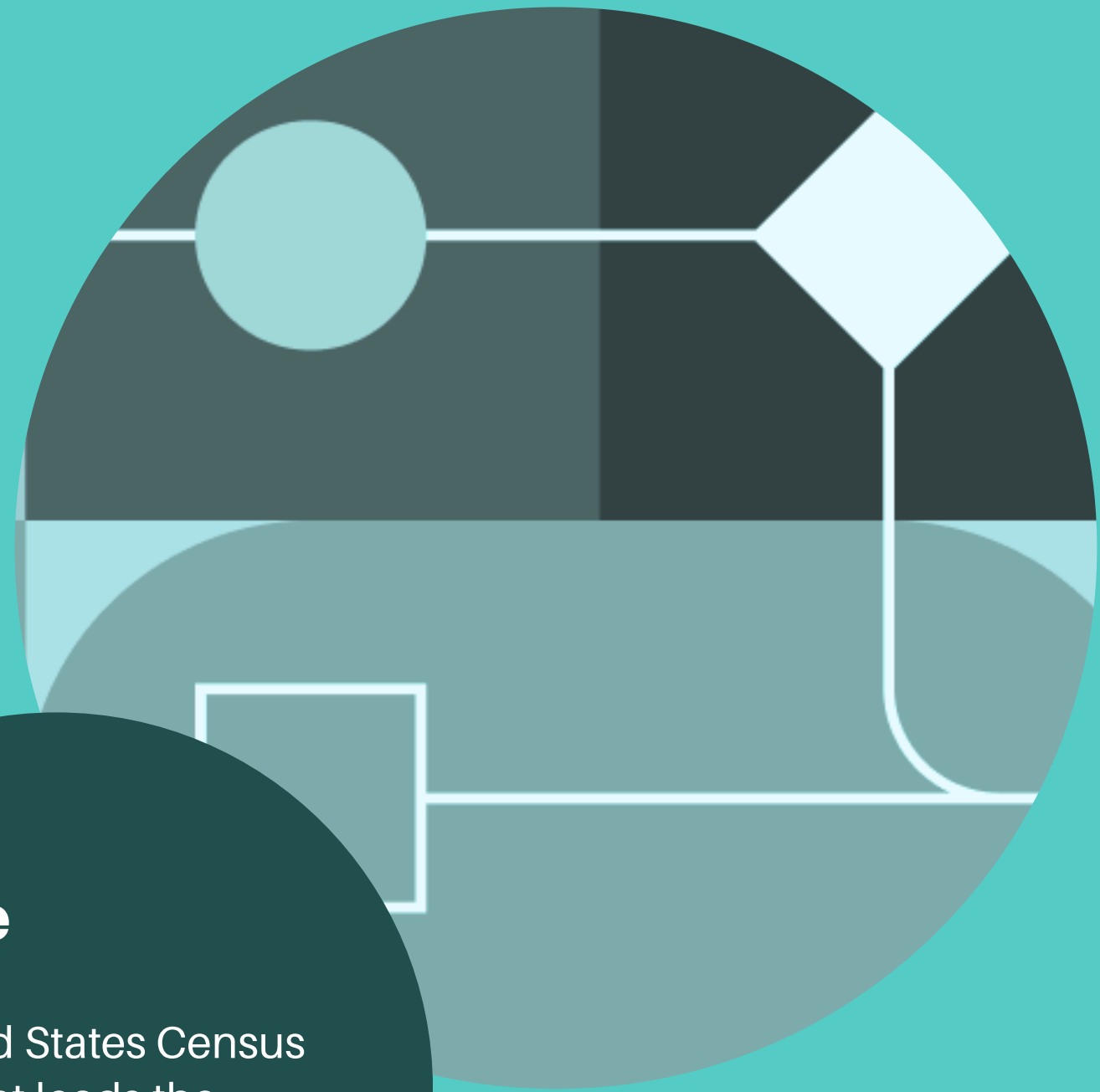


Data understanding

- Size: ~200,000
- Scope: Demographic, employment and financial variables
- Key variables:
 - instance_weight (ignored while modeling)
 - income_level
 - age, sex
 - class_of_worker

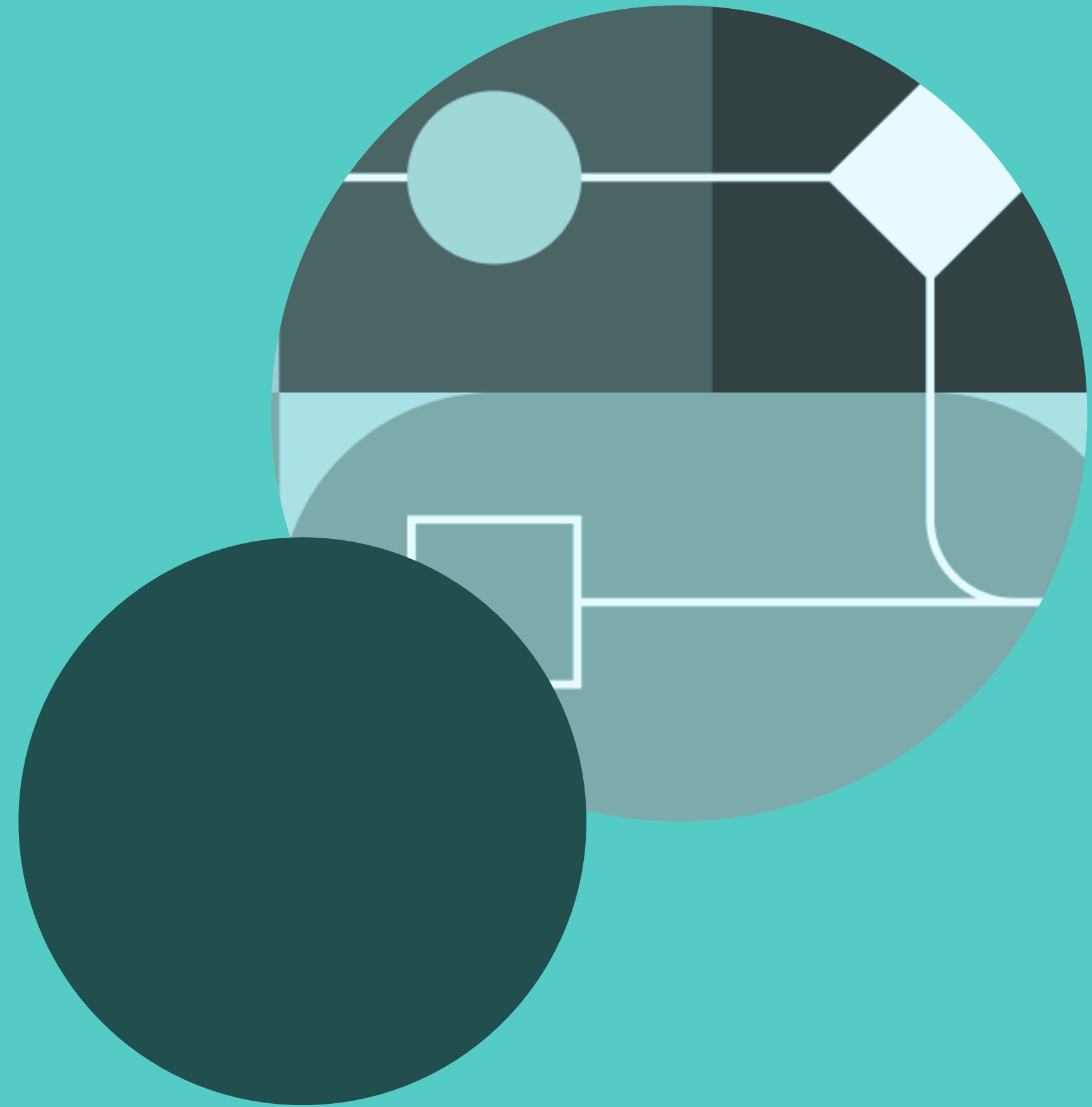
Source

The United States Census Bureau that leads the country's Federal Statistical System

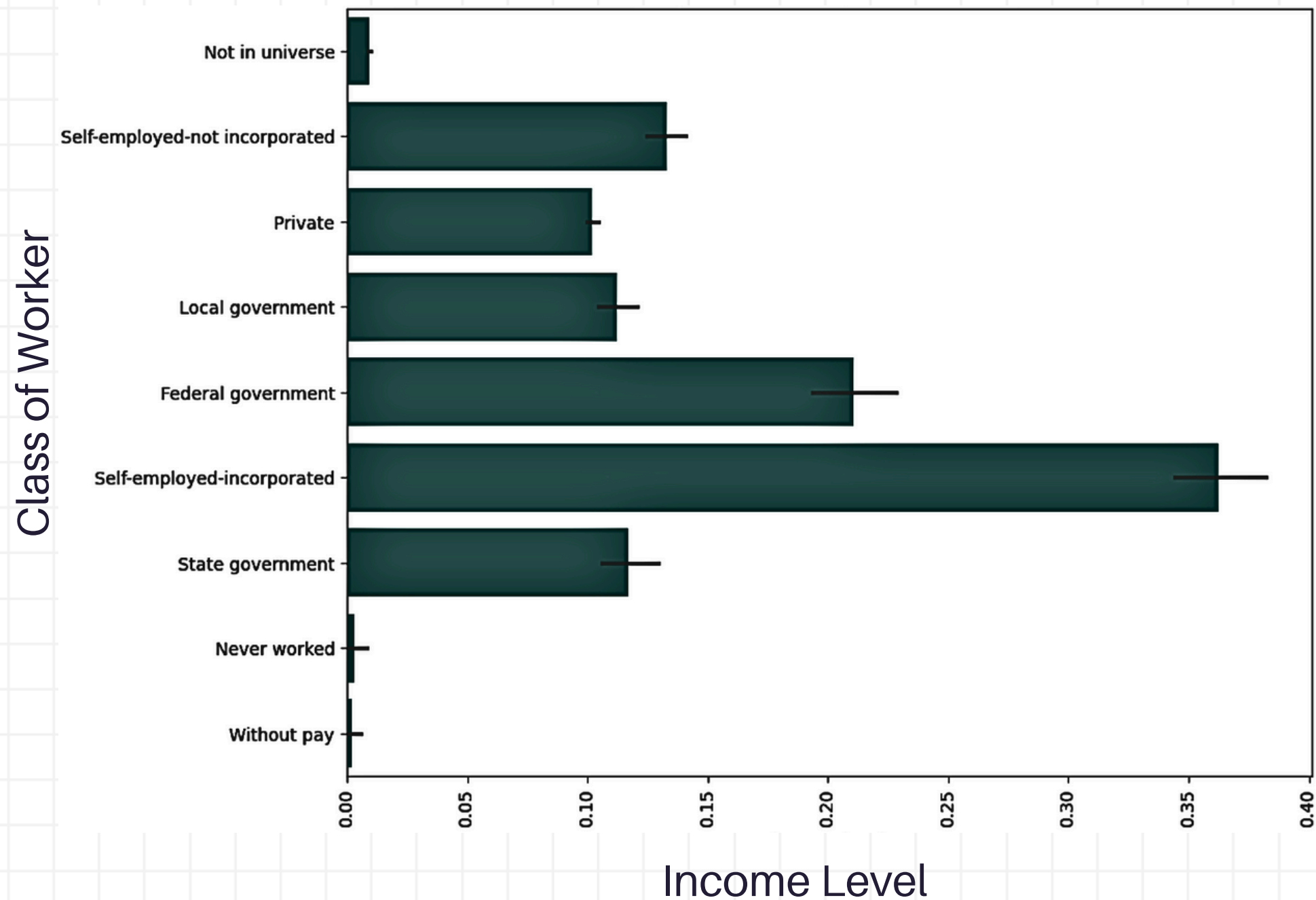


Exploratory data analysis

- Class Imbalance
 - 187,141 <\$50K
 - 12,382 >\$50K
- Weighted% earning >\$50K is 6.4%.



Weighted% > \$50K by Class of worker



Self-employed (incorporated) workers have the highest weighted% of earning >\$50K at ~**35%**.



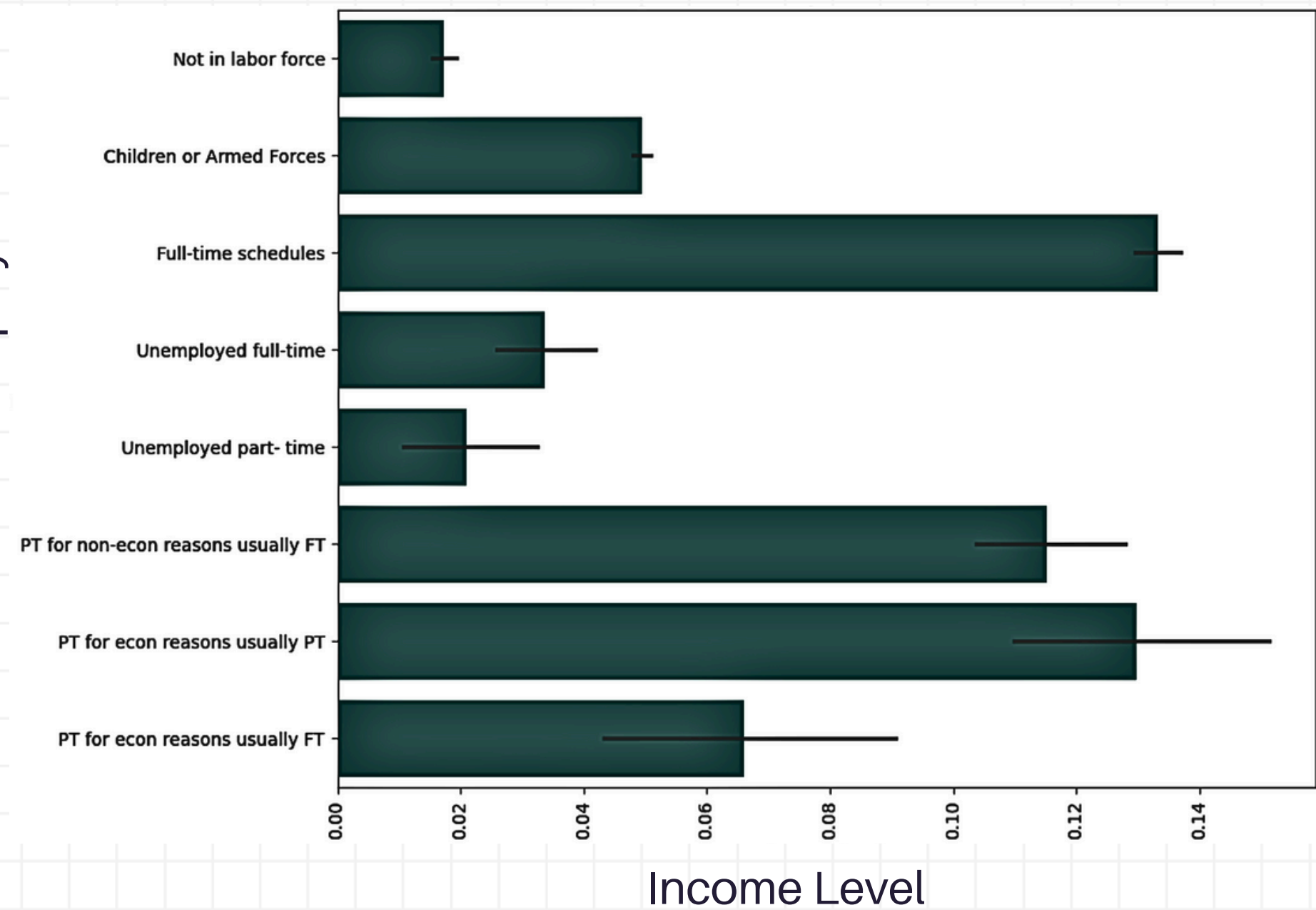
Federal government employees have more weighted% of earning >\$50K than state or local government at ~**20%**.



Working in **state, local, private** or being **self-employed (not incorporated)** have moderate level of weighted% of earning >\$50K at **12%, 12%, 10% and 13%** respectively.

Weighted% >\$50K by Full-time(FT) or Part-time(PT) employment

FT/PT employment



FT earnings are strongly associated with earning >\$50K (~**13%**).



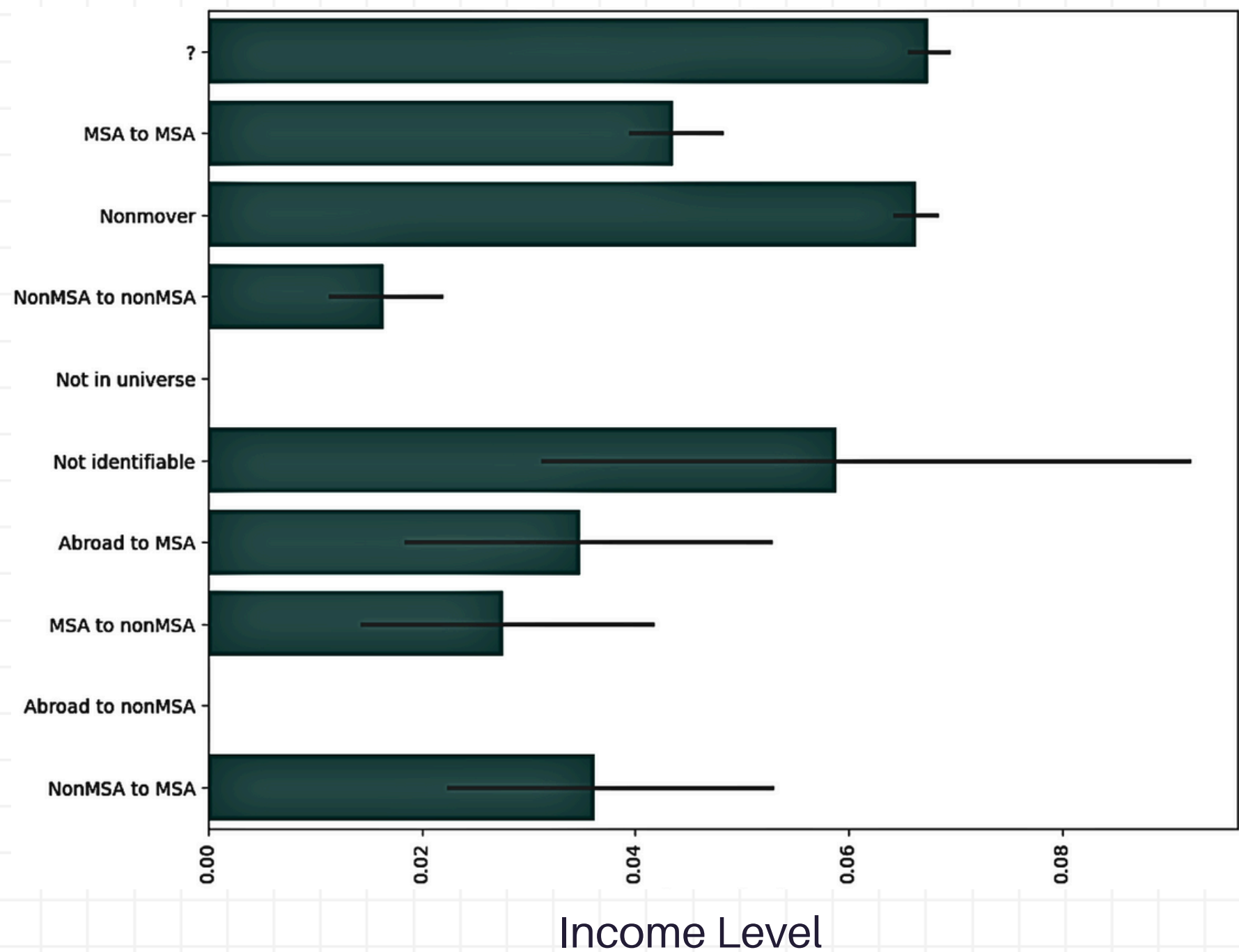
PT for economic reasons and non-economic reasons (usually PT or usually FT) also show elevated chances but are noticeably behind FT workers.



Non-labor groups (~**1.5%**) and **unemployed groups** (~**2 - 3.5%**) rarely earn >\$50K.

Weighted% >\$50K by Migration in Metropolitan statistical area (MSA)

Migration codechange in MSA



Non-movers (~6.5%) or intra-MSA movers (~4%) are more likely to have >\$50K earnings.



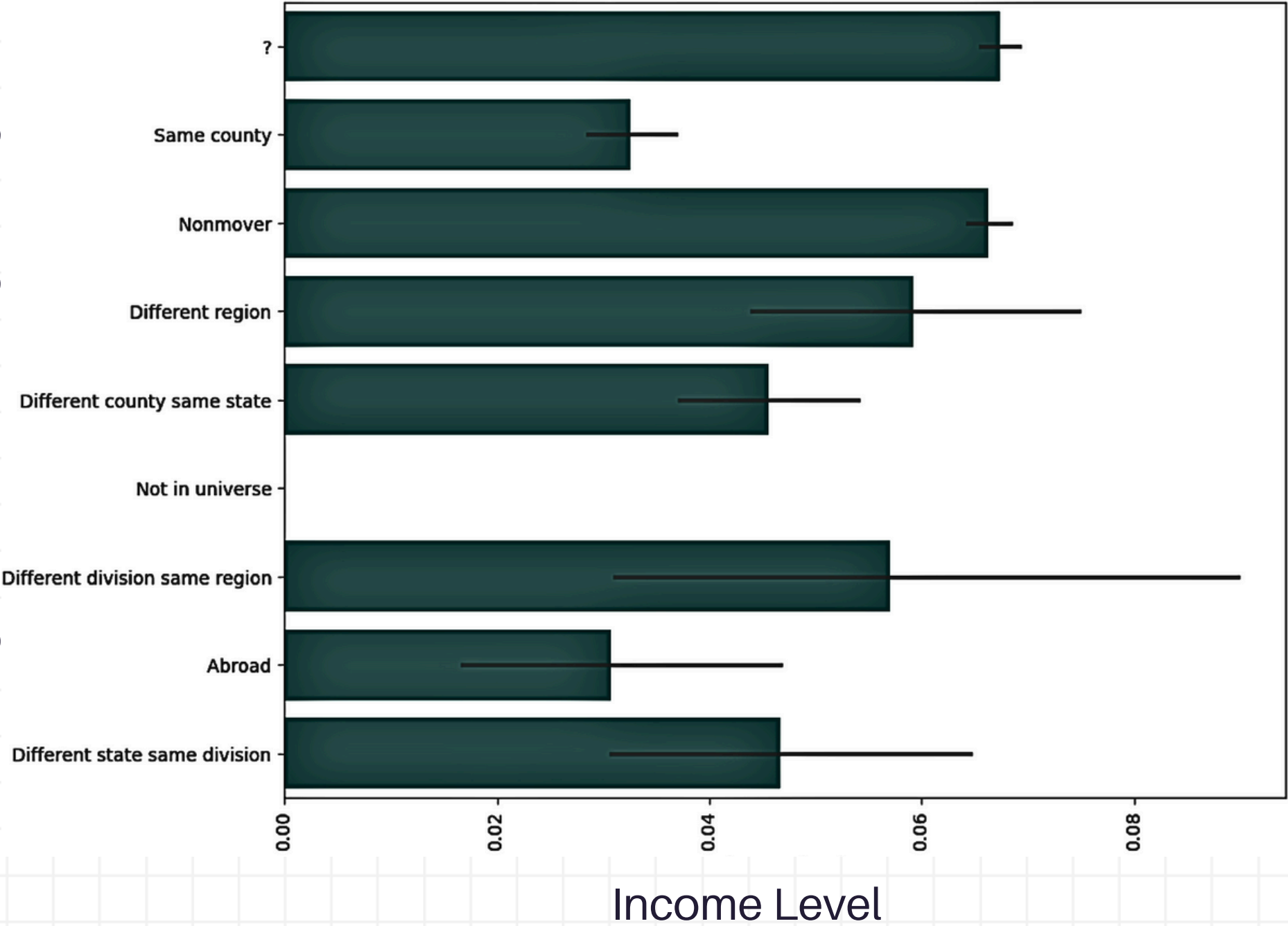
Movers between **non-MSA to MSA** have lower high-income earnings of >\$50K at ~3.5%.



Movers between **MSA to non-MSA** have income earnings of >\$50K at ~2.5%.

Weighted% >\$50K by Migration in Region

Migration codechange in region



Non-movers or individuals who stay in the same county have the highest weighted% earnings of >\$50k at ~**6.5%**.

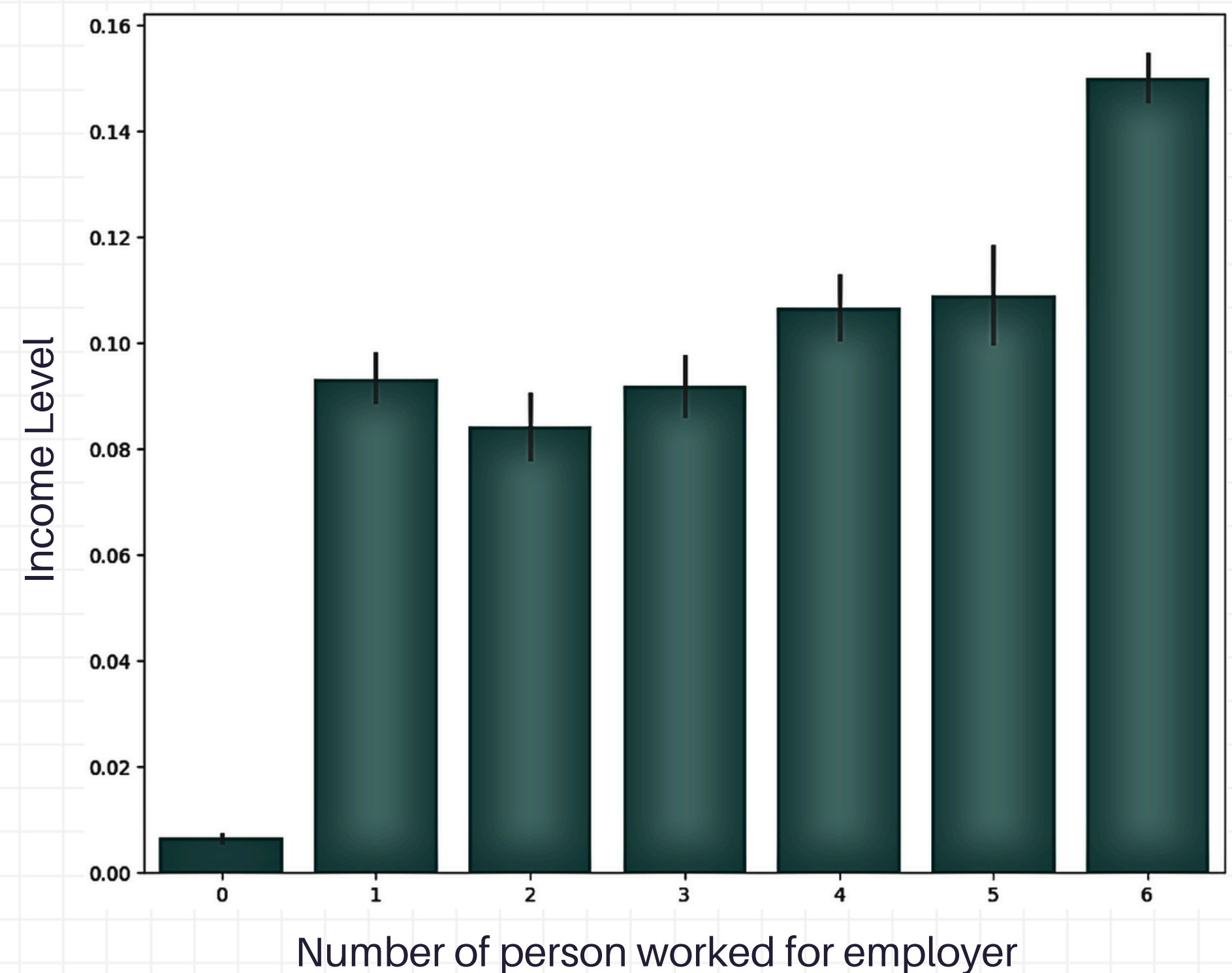


Migrating across larger geographic areas (**region or division**) does not offer significant income advantage.



Those who lived **abroad** or **who cannot be categorised due to data limitations**, exhibit lower, less predictable proportion of >\$50K earners.

Weighted% > \$50K by Number of person worked for employer



Higher workplace size correlates with greater income.

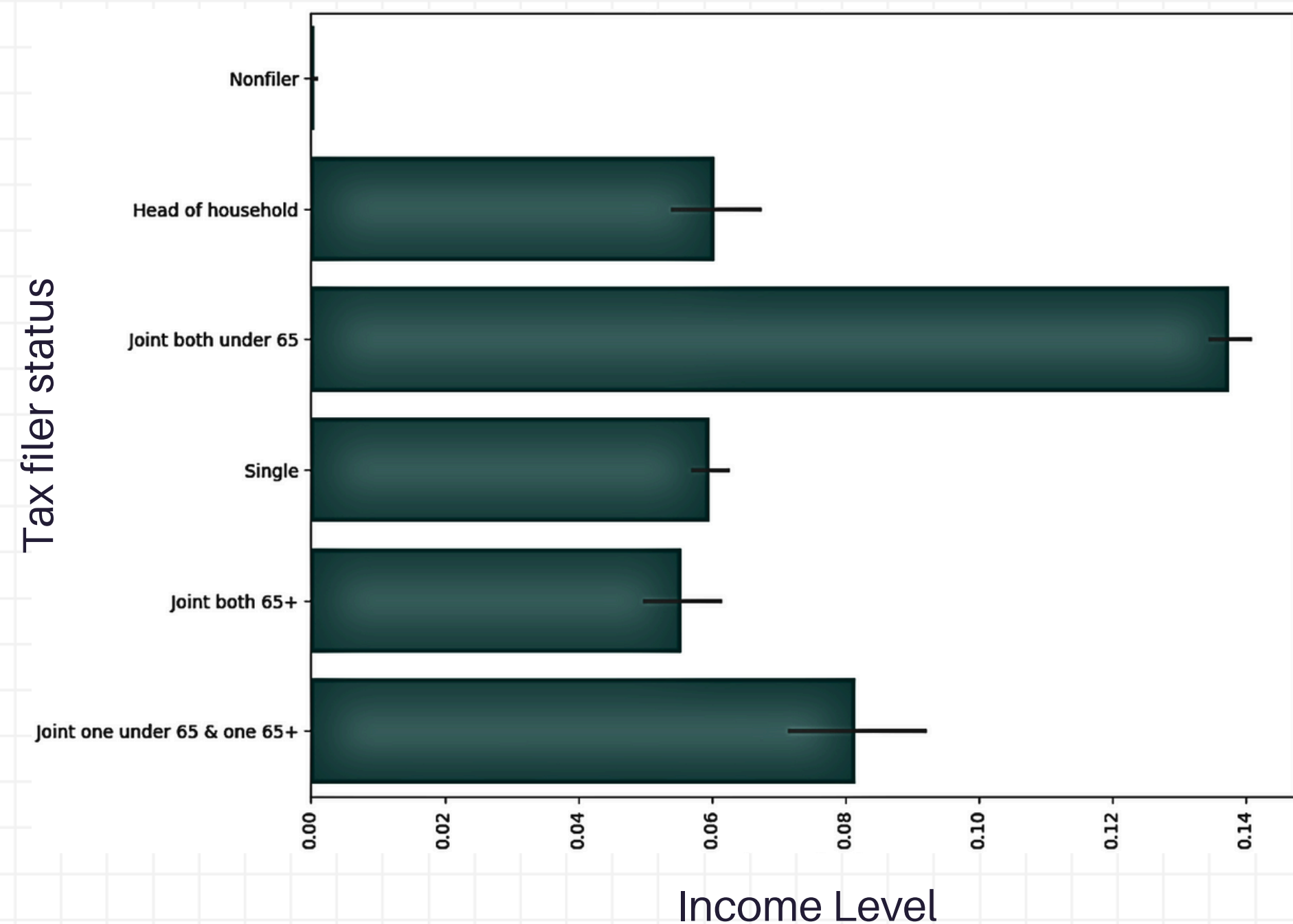


Sole workers have the lowest likelihood of earning >\$50K at ~**0.5%**.



Income advantage becomes most pronounced in **largest workplaces** (~**15%**).

Weighted% >\$50K by Tax filer status



Joint filers under 65 show the highest proportion of >\$50K earners at ~**13.5%**.



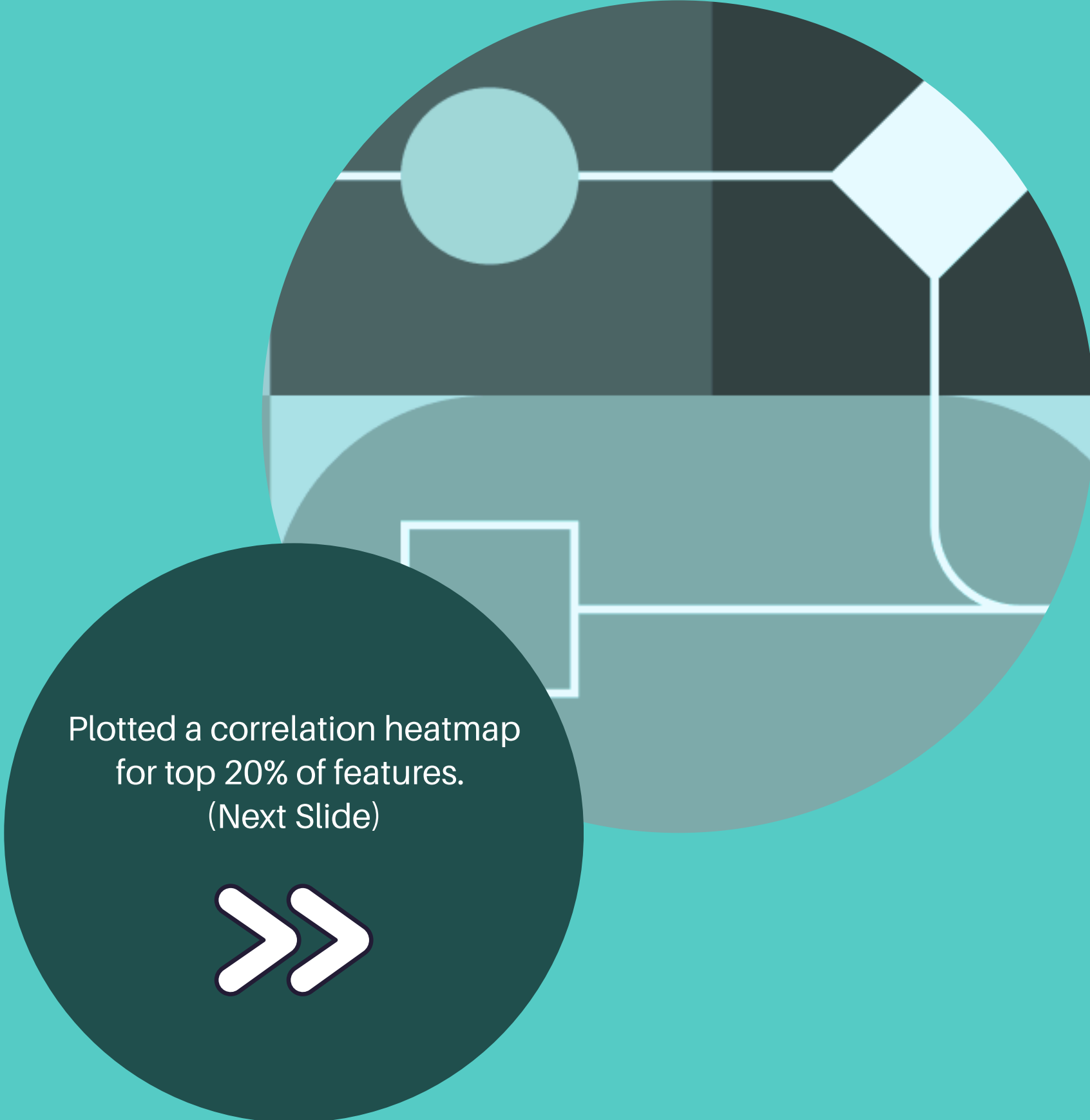
Single filers and **heads of household** are notably less likely to earn >\$50K at ~ **5.5 - 6%**.



Non-filers have an extremely low likelihood of high income.

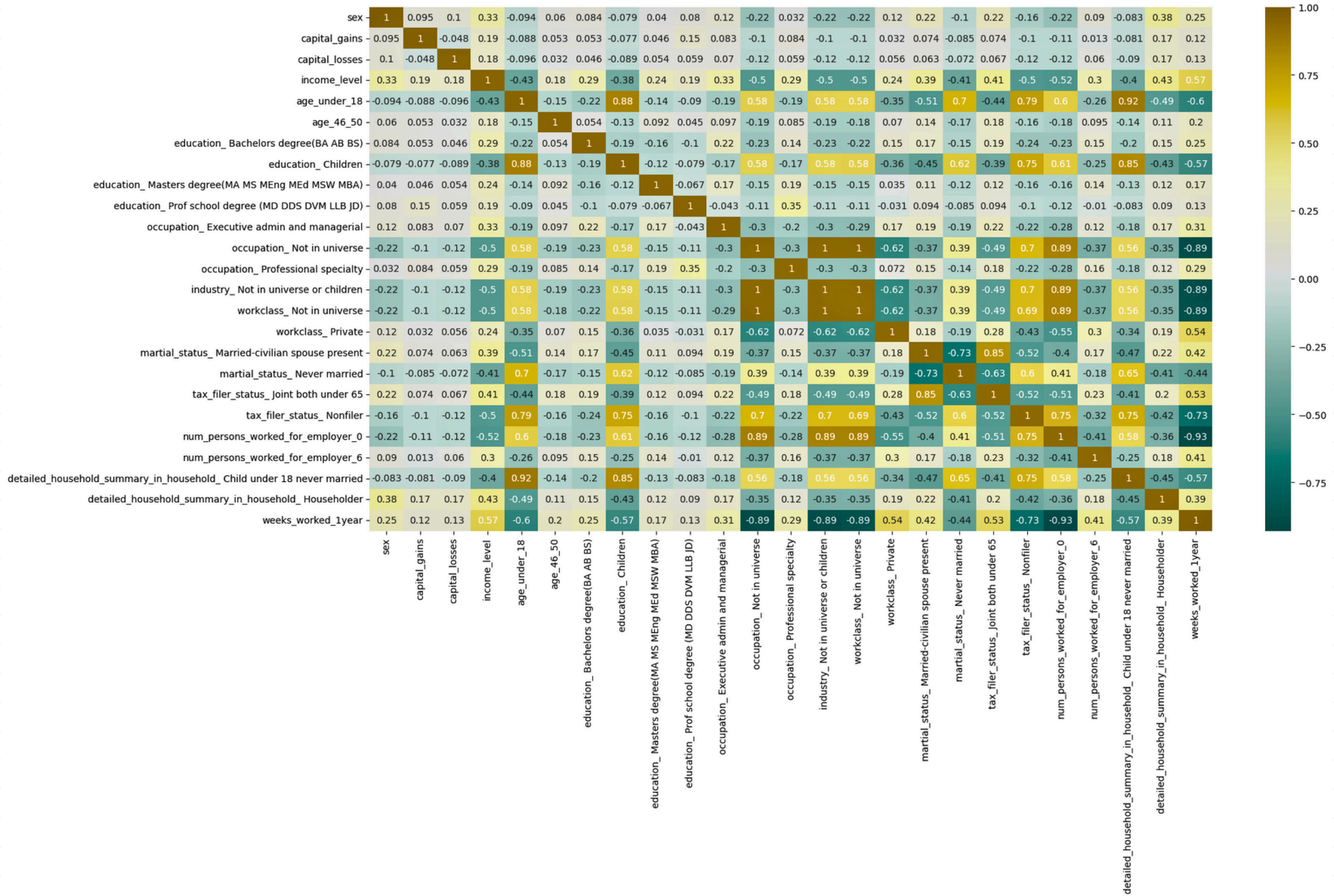
Feature engineering

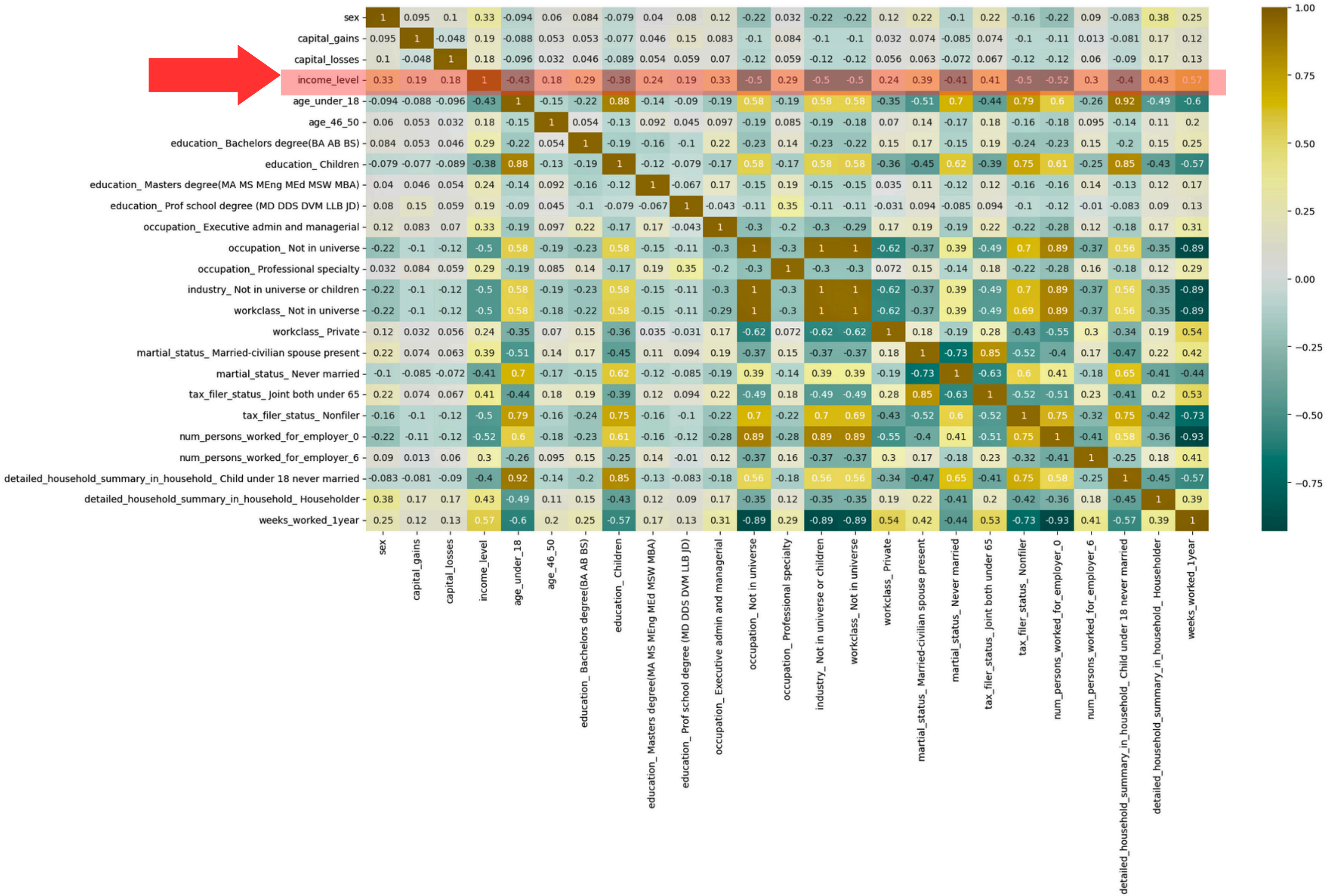
- Balancing the classes (**Under sampling**)
- Grouping ages into range (**Bucketing**)
- Turning categories into easy-to-use numbers (**One-hot encoding**)
- Bringing numbers to a common scale (**Standardising** - **Weeks worked in a year**)

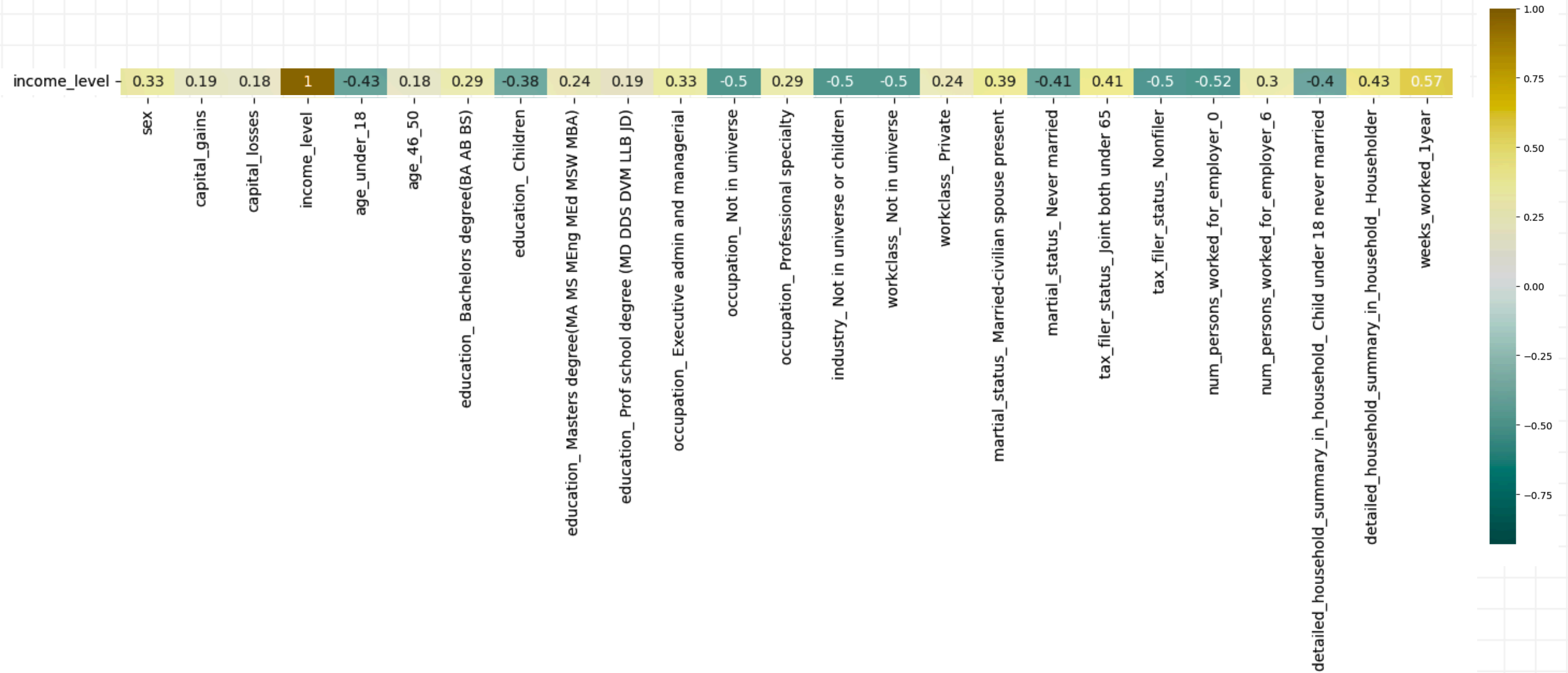


Plotted a correlation heatmap
for top 20% of features.
(Next Slide)









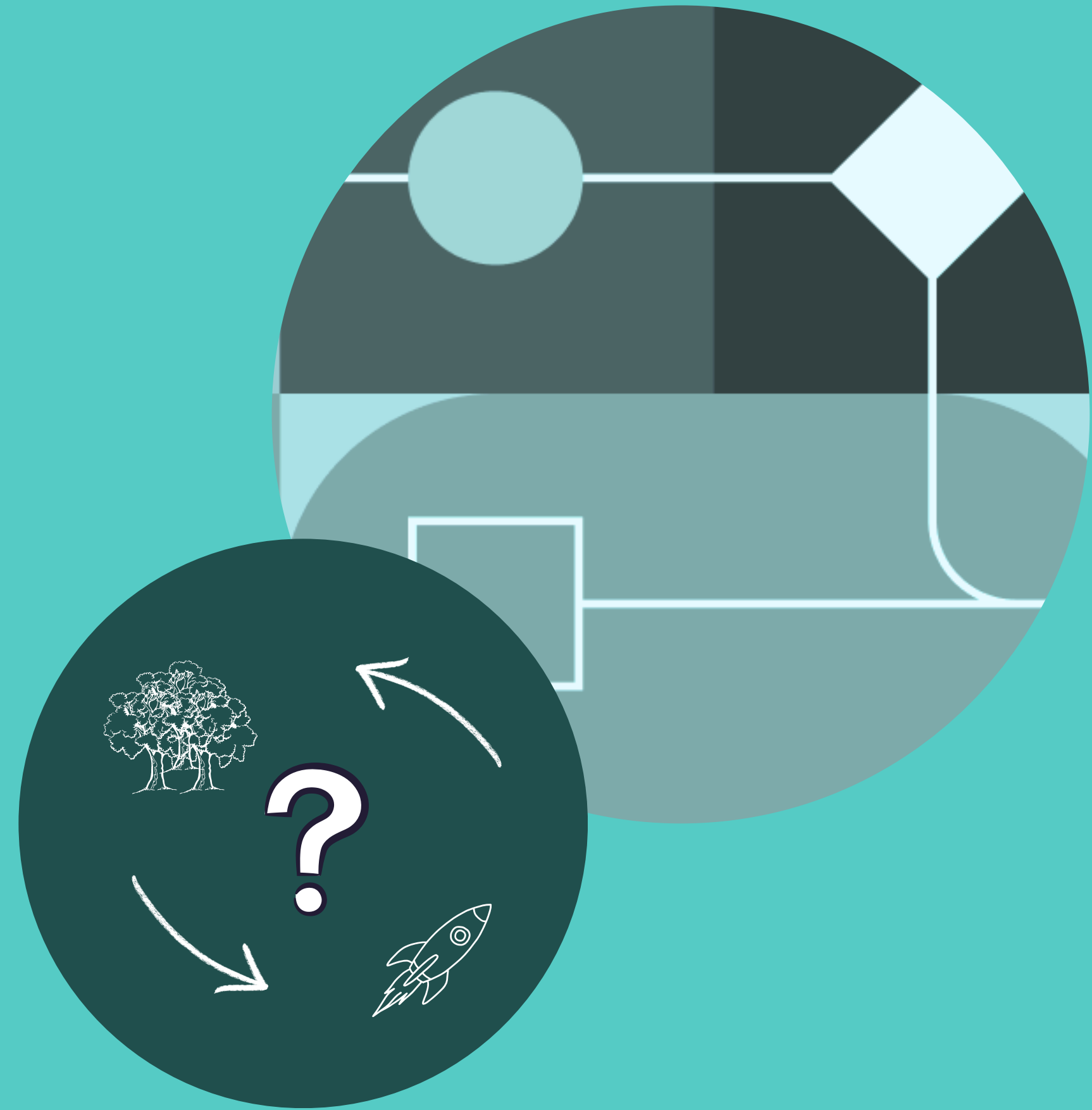
Features most strongly linked to higher income:
Weeks worked, employer size, higher education, occupation status, capital gains, being male, filing taxes jointly



Features most strongly linked to lower income:
Underage status, not engaged in workforce, nonfiler tax status, presence of children, never married

Modeling and evaluation

- **Random forest:** Combines results of many decision trees to make answers more reliable and less prone to mistakes.
- **XGBoost:** Builds knowledge step by step, steadily improving by focusing on those the model got wrong the first time.

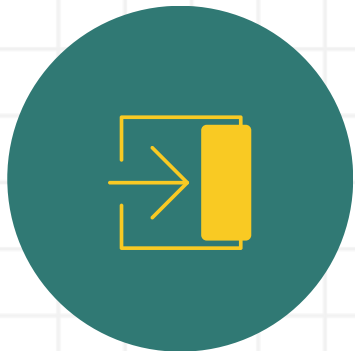


Random Forest Classifier (RFC)



Precision

- <\$50K = 89%
- >\$50K = 85%



Recall

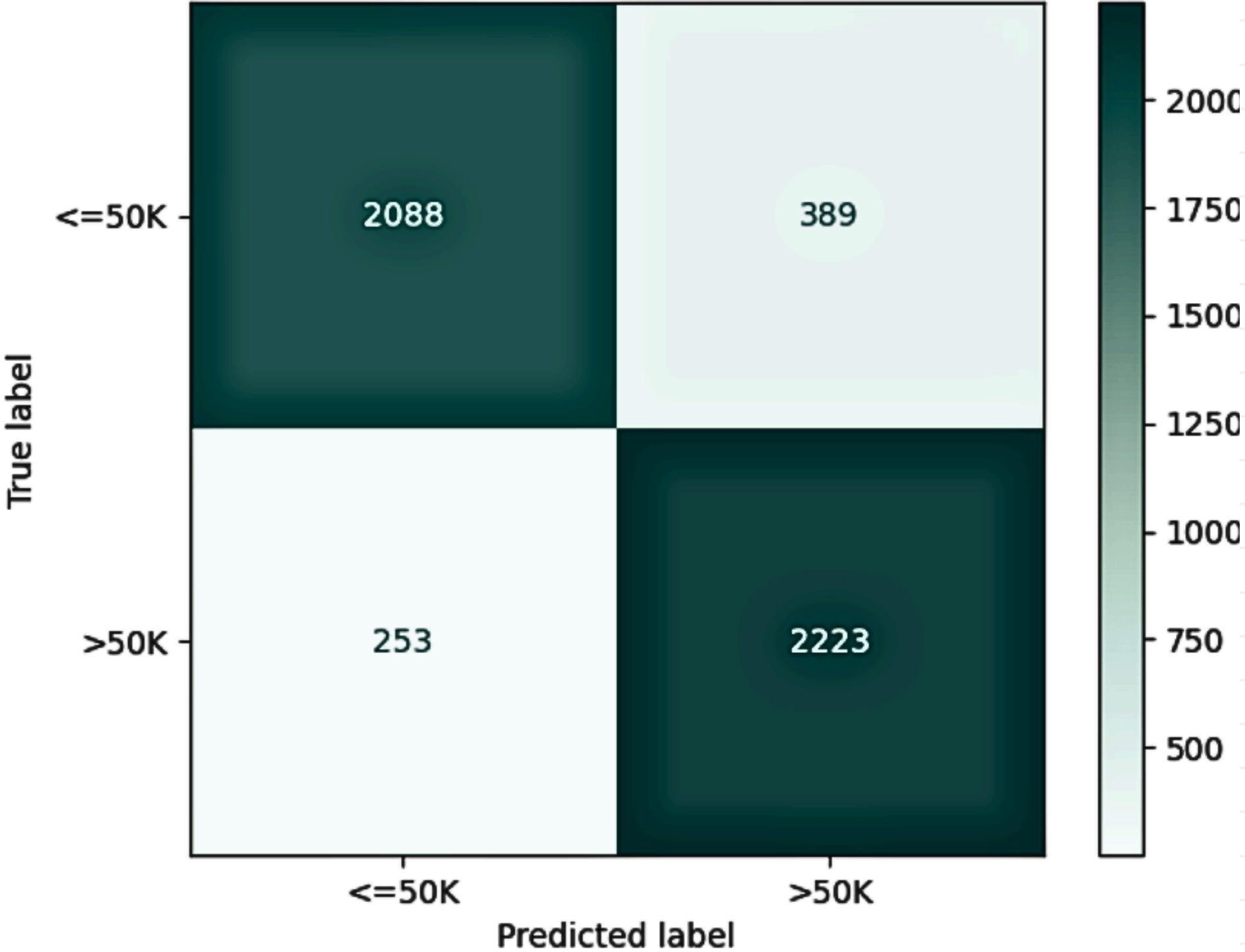
- <\$50K = 84%
- >\$50K = 90%



Overall Accuracy

87%

Confusion Matrix-RFC



Feature Importances (RFC)

	feature	importance
0	dividends_from_stocks	0.075028
1	weeks_worked_1year	0.074025
2	num_persons_worked_for_employer_0	0.049138
3	detailed_household_summary_in_household_House...	0.042650
4	sex	0.039658
5	capital_gains	0.035647
6	industry_ Not in universe or children	0.029186
7	tax_filer_status_ Nonfiler	0.025461
8	occupation_ Not in universe	0.024434
9	occupation_ Executive admin and managerial	0.023406
10	marital_status_ Never married	0.023347
11	tax_filer_status_ Joint both under 65	0.022605
12	workclass_ Not in universe	0.022335
13	education_ Bachelors degree(BA AB BS)	0.020697
14	occupation_ Professional specialty	0.019770



The most influential factors, according to the RFC model, are shown here in order of importance.



Features like **stock dividends, weeks worked in a year, and workplace size** have the greatest impact on predicting whether someone earns above \$50K.



Household details, gender, and financial variables (e.g. **capital gains**) also play key roles.



The model uses this information to find the patterns most associated with higher income.



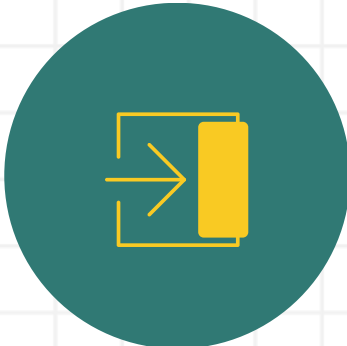
Can interpret model's recommendations and direct attention to factors that could be addressed by policy or business action.

XGBoost



Precision

- <\$50K = 89%
- >\$50K = 87%



Recall

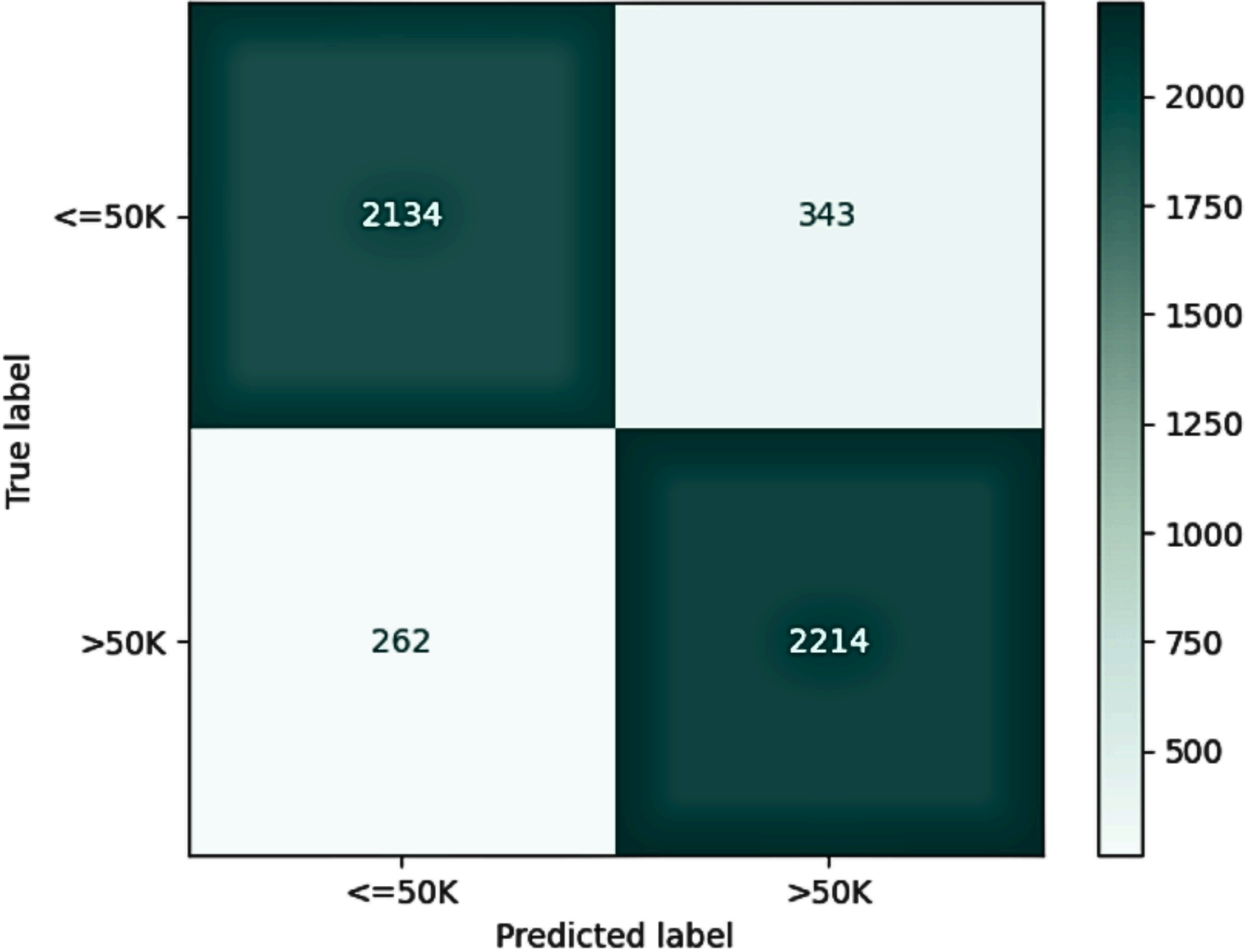
- <\$50K = 86%
- >\$50K = 89%



Overall Accuracy

88%

Confusion Matrix-XGBoost



Feature Importances (XGBoost)

	feature	importance
0	tax_filer_status_ Nonfiler	0.130113
1	weeks_worked_1year	0.089042
2	occupation_ Other service	0.056085
3	age_under_18	0.039131
4	occupation_ Executive admin and managerial	0.026587
5	sex	0.025874
6	occupation_ Professional specialty	0.024198
7	dividends_from_stocks	0.021031
8	education_ Prof school degree (MD DDS DVM LLB JD)	0.020137
9	marital_status_ Never married	0.019911
10	education_ Masters degree(MA MS MEng MEd MSW MBA)	0.019136
11	age_21_25	0.018913
12	capital_gains	0.018840
13	occupation_ Handlers equip cleaners etc	0.017261
14	occupation_ Adm support including clerical	0.015607



The most influential factors, according to the XGBoost model, are shown here in order of importance.



Tax filer status (non-filer) and weeks worked in a year are most powerful indicators, meaning these features played the biggest roles in the model’s decision making.



Job types, certain age groups, and educational attainment also significantly influenced predictions.



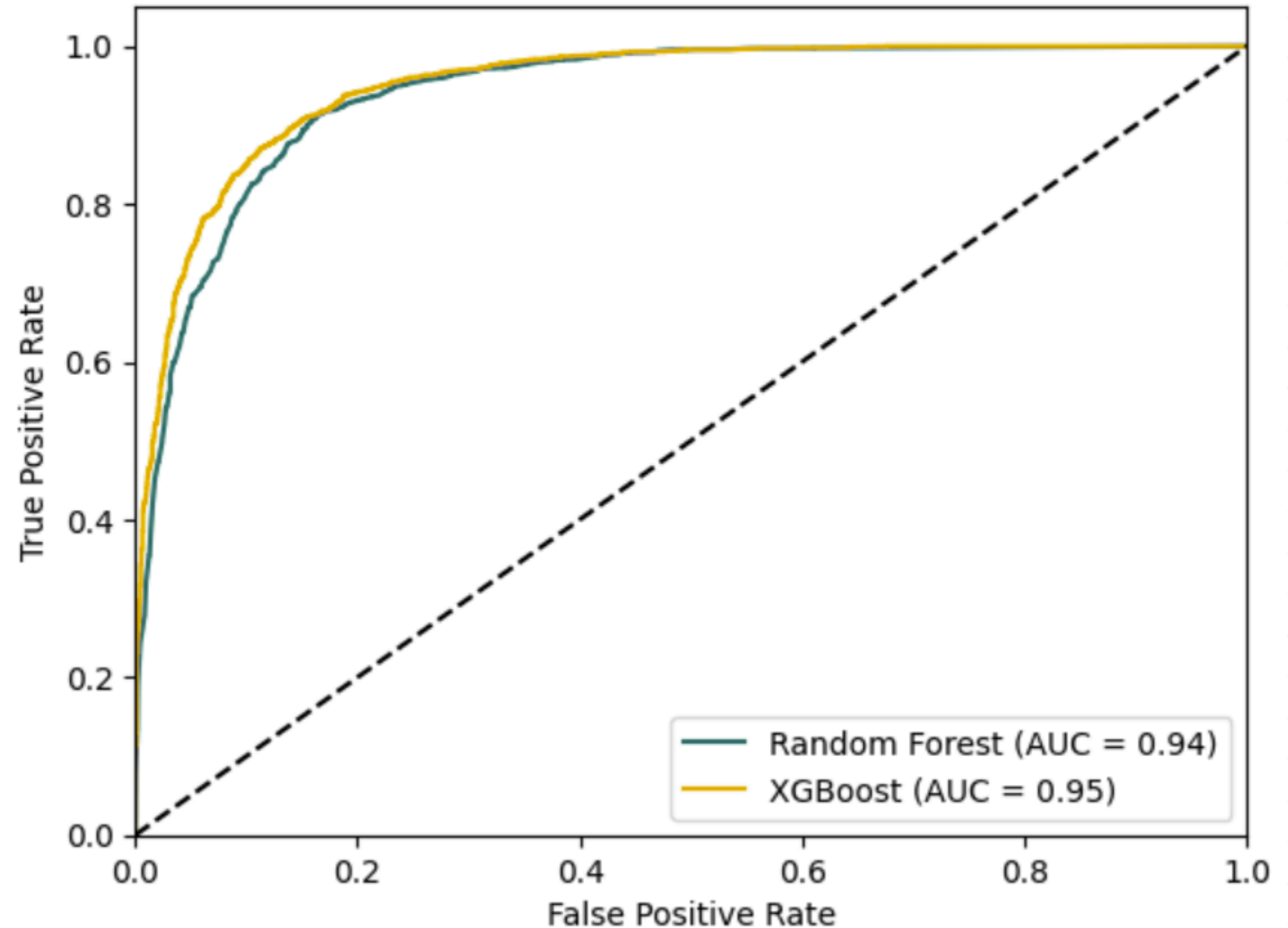
Can interpret model’s recommendations and direct attention to factors that could be addressed by policy or business action.

ROC-AUC Comparison

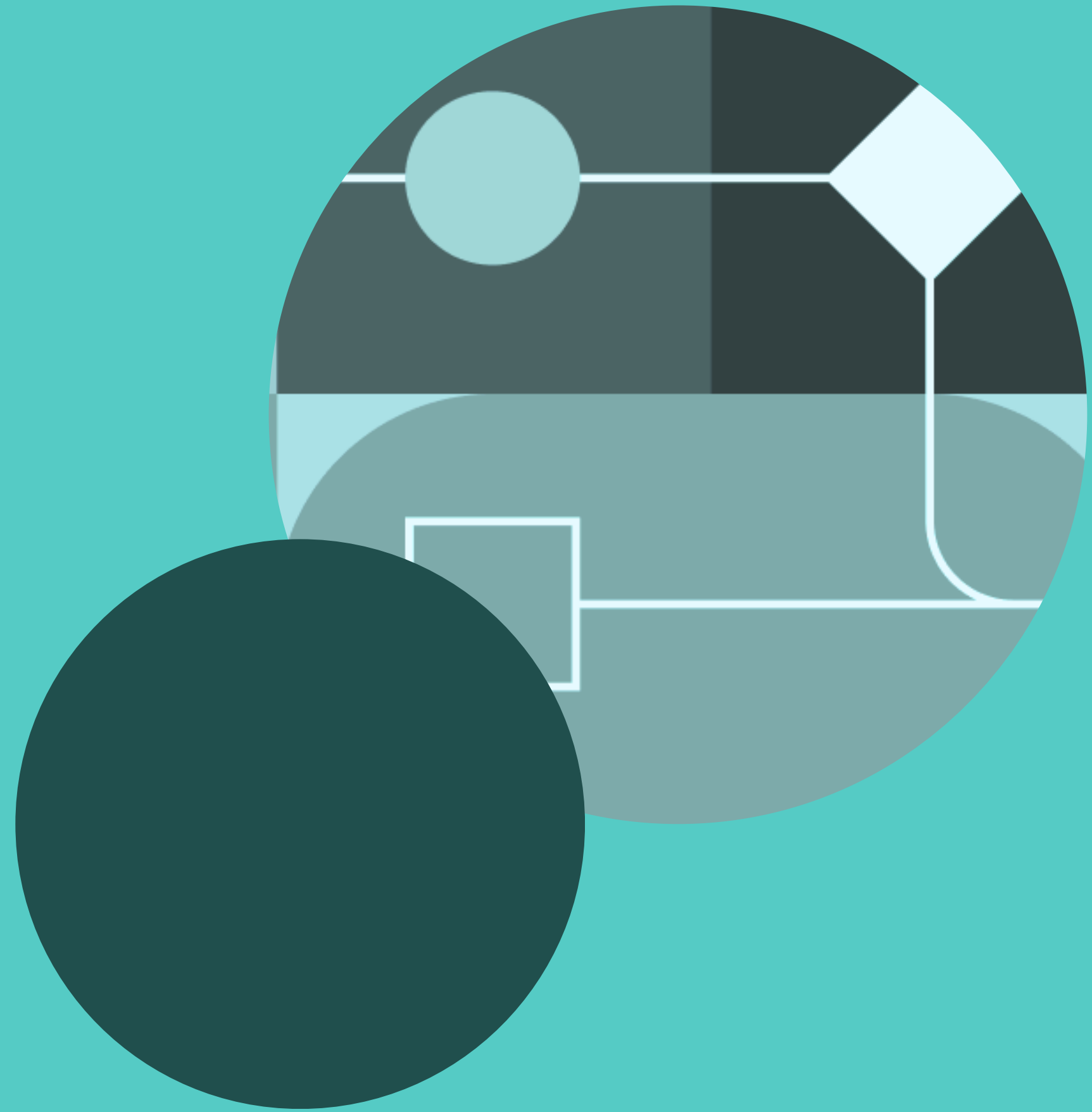
✓ Receiver operating characteristics

✓ Area under the curve

✓ The higher the curve the better the model



Results

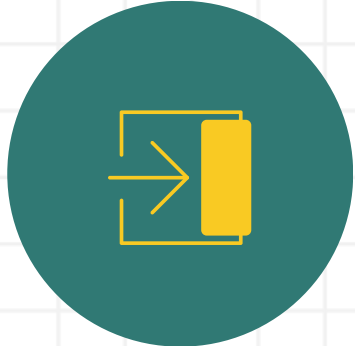


Predicting on Final Dataset



Precision

- <\$50K = 99%
- >\$50K = 30%



Recall

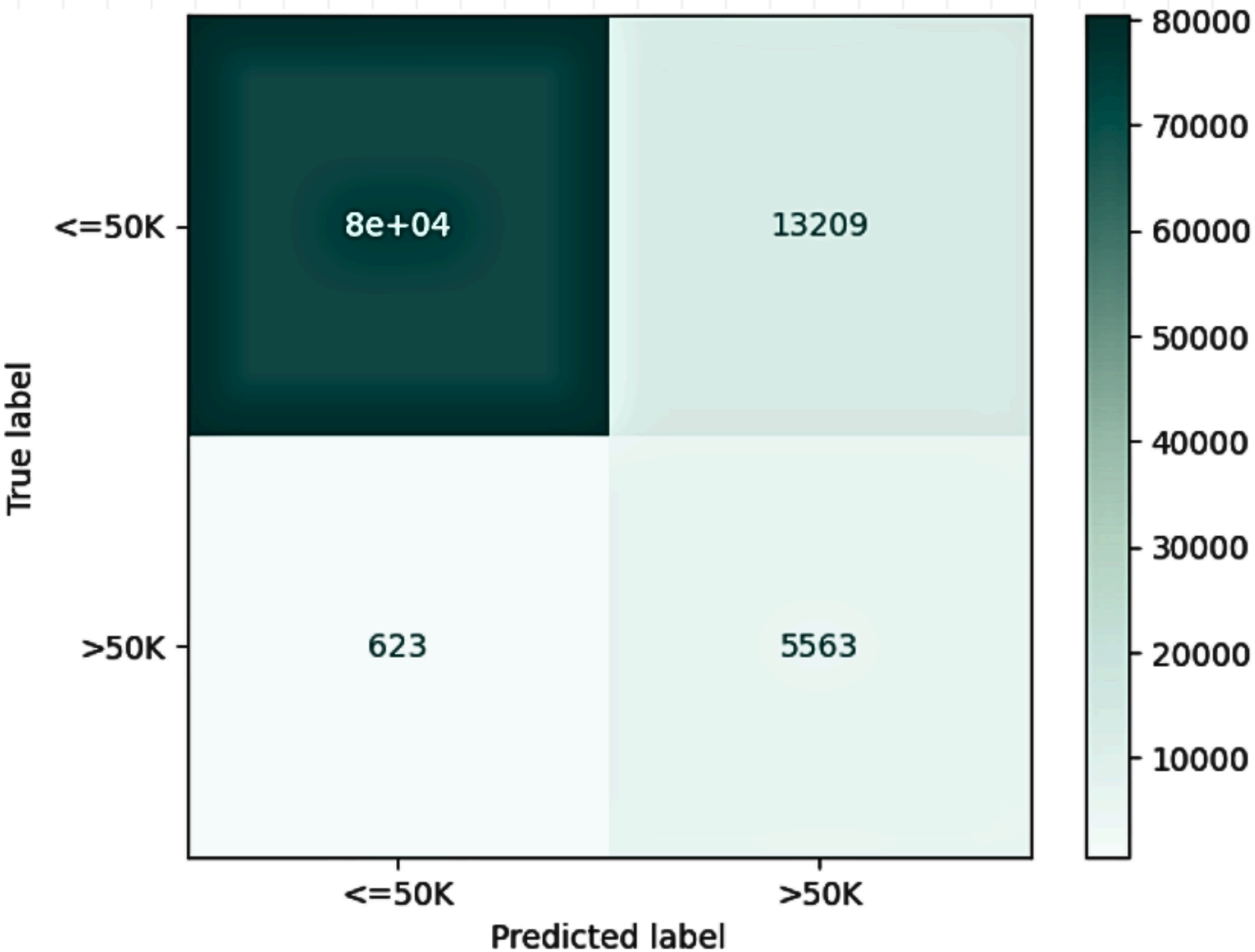
- <\$50K = 86%
- >\$50K = 90%



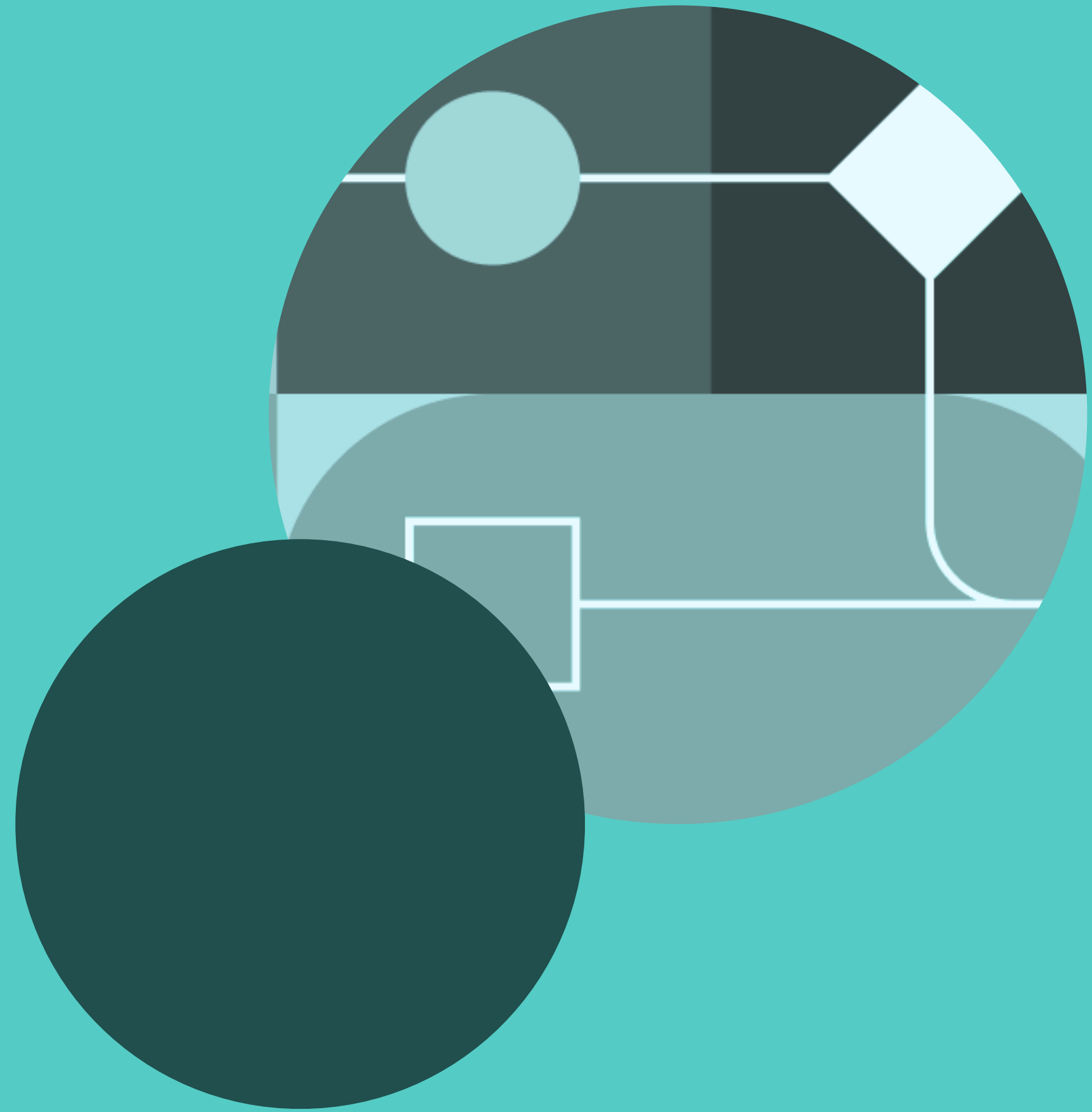
Overall Accuracy

86%

Confusion Matrix-XGBoost



Recommendations





Marriage

- Promote marriages
- Stable households
- Joint tax filing
- Community building and support programs



Education

- Promote advanced education
- Boost individuals earning potential



Career

- Fostering career mobility within large organisations
- Encouraging entrepreneurship

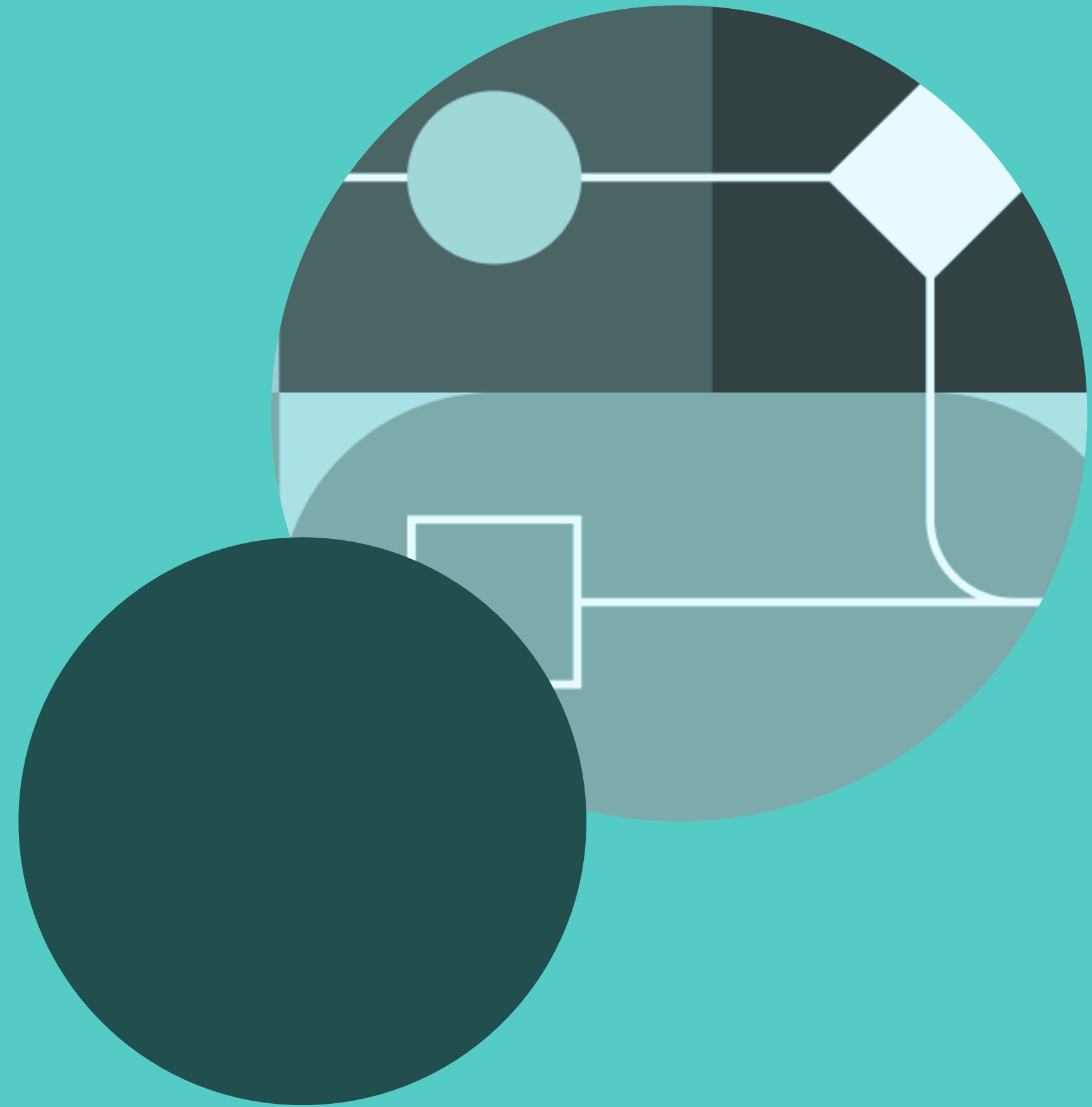


Financial awareness

- Promoting financial awareness
- Investment awareness in stocks, dividends, etc.
- Improving long term outcomes

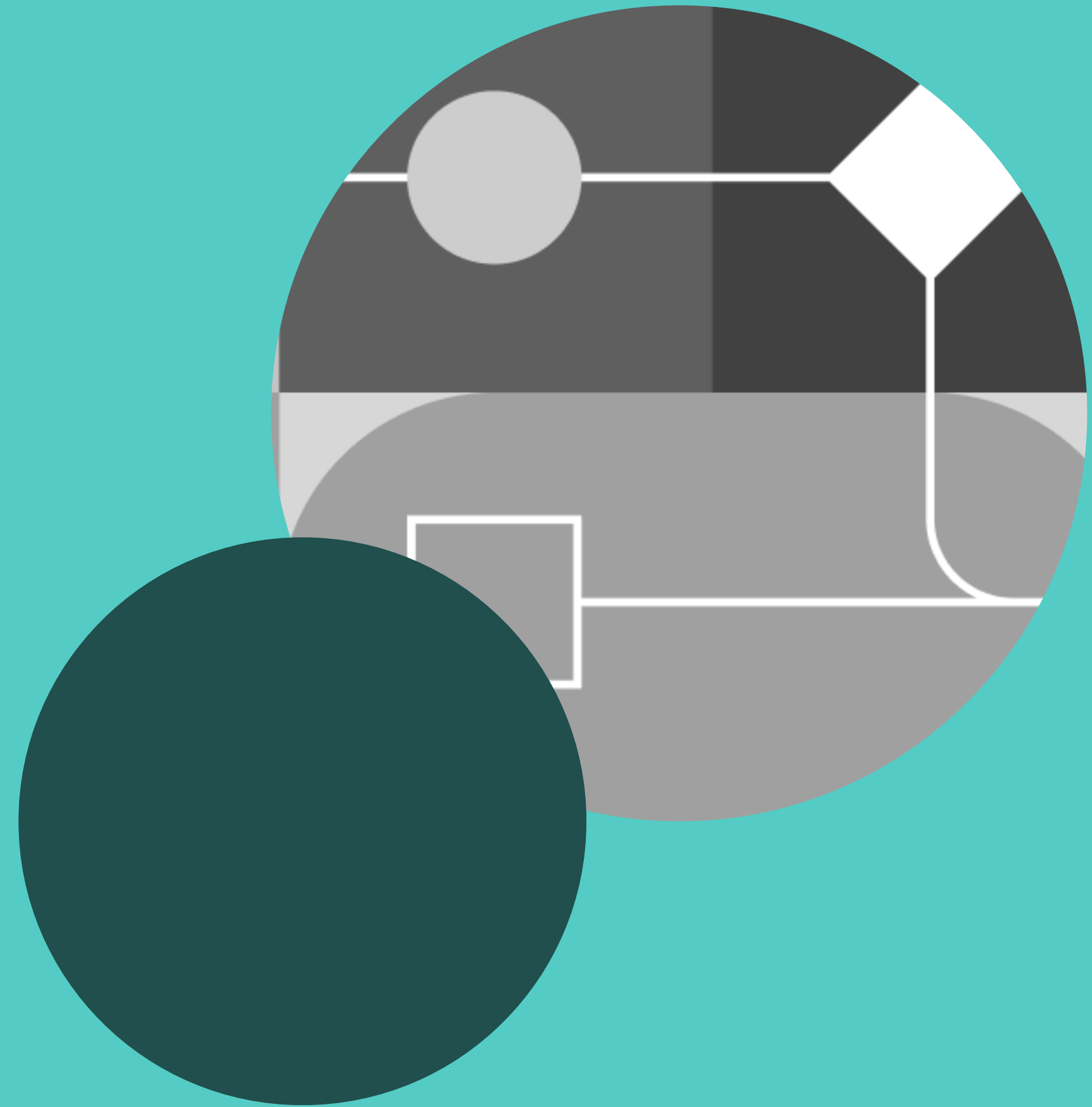
Limitations

- Dataset based on stratified sampling
- Feature coverage and data quality
- Data doesn't reflect current or future income patterns due to dynamic market
- Biasness in data due to sampling methods



Future work

- Model enhancement
- Feature engineering
- Over sampling methods
- Feedback loop



Thank you!

